



Budgeting Configuration in D365

Oct 21, 2024 — by Musab in D365

Budgeting is a critical tool for finance folk to help them maintain financial control over their operations which in turn help them to manage financial health and achieving strategic objectives of a business

Dynamics 365 Finance offers robust budgeting capabilities, allowing organizations to create, manage, and monitor budgets effectively. We can also call these budget transactions in MR for actual vs budget comparison financial reports.

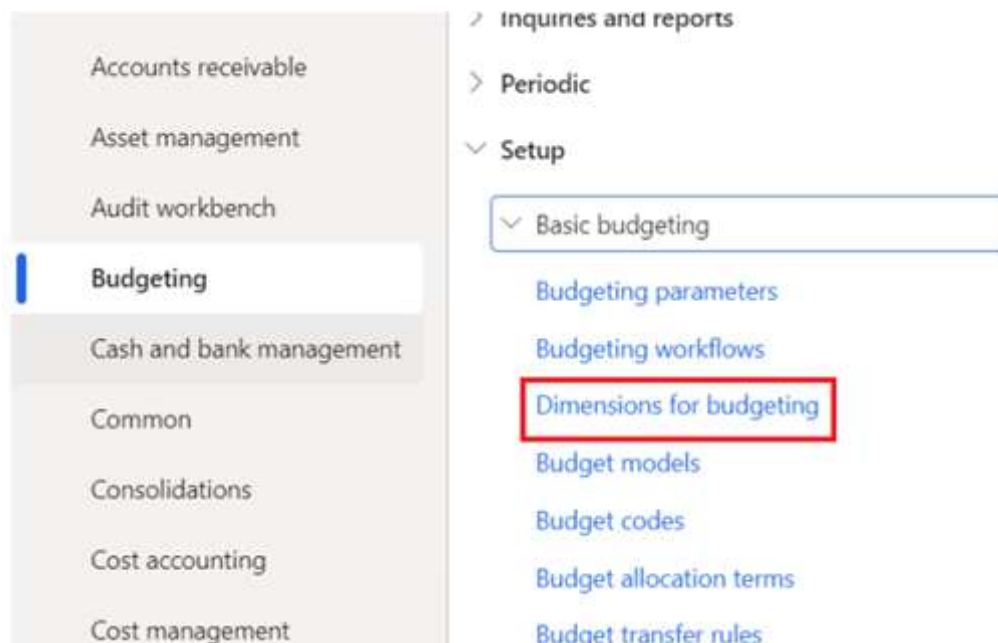
To setup the budgeting we need to set configure following setup

1. Budget Dimensions
2. Budget Cycle
3. Budget Code
4. Budget Model
5. Budget Control Configurations
6. Budget Register Entries

Step 1: Dimensions for Budgeting

We can control budget on dimension level. To enable dimensions for budget control go to

Budgeting > Setup > Basic Budgeting > Dimensions for budget



In next screen move the dimensions from left to right on which you want to define the budget and click ok

Standard view ▾

Budgeting dimensions

Select the financial dimensions to use for budgeting. You can select from the financial dimensions that are available in the ledger.

CHART OF ACCOUNTS DIMENSION

☒ Project



BUDGET DIMENSION

☐ MainAccount

ItemGroup

BusinessUnit

Department

CostCenter

OK

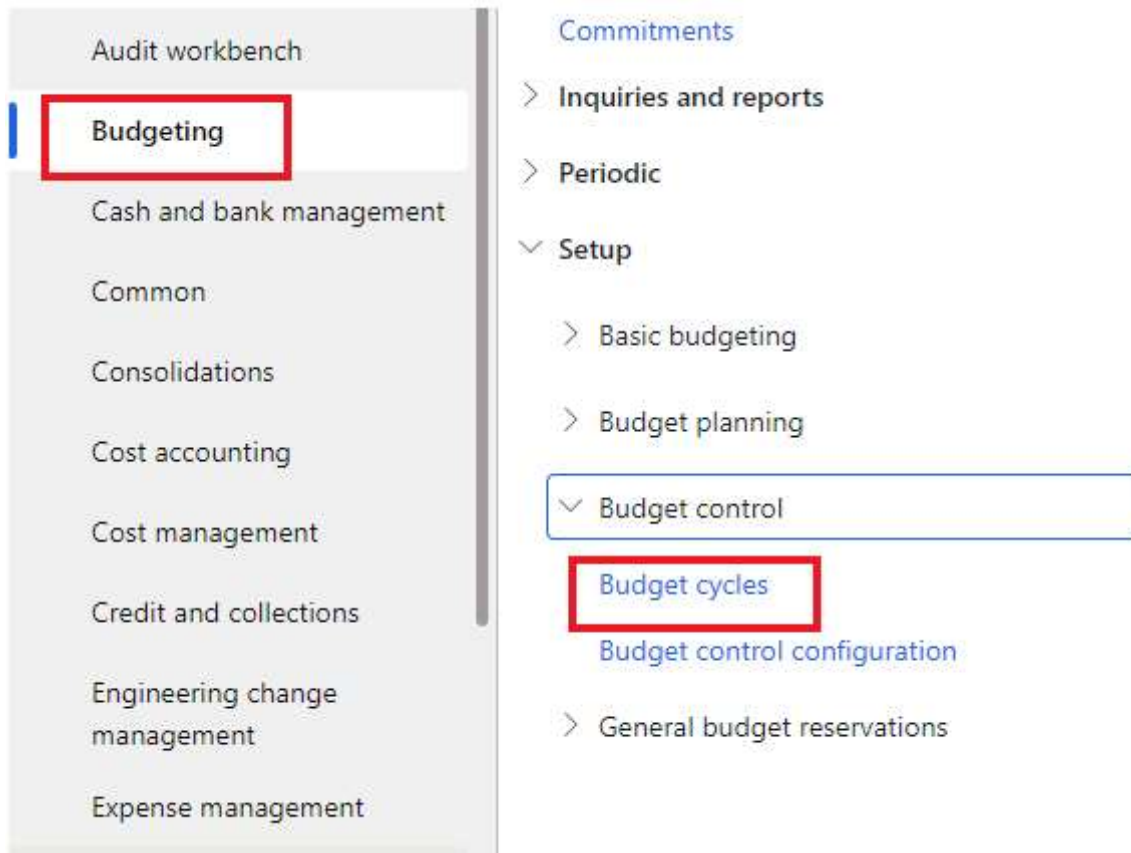
Cancel

Step 2: Budget Cycle

Budget cycle define the timeframe/length of period for which we need to create the budget. Typically we create it for fiscal years and define the periods in it

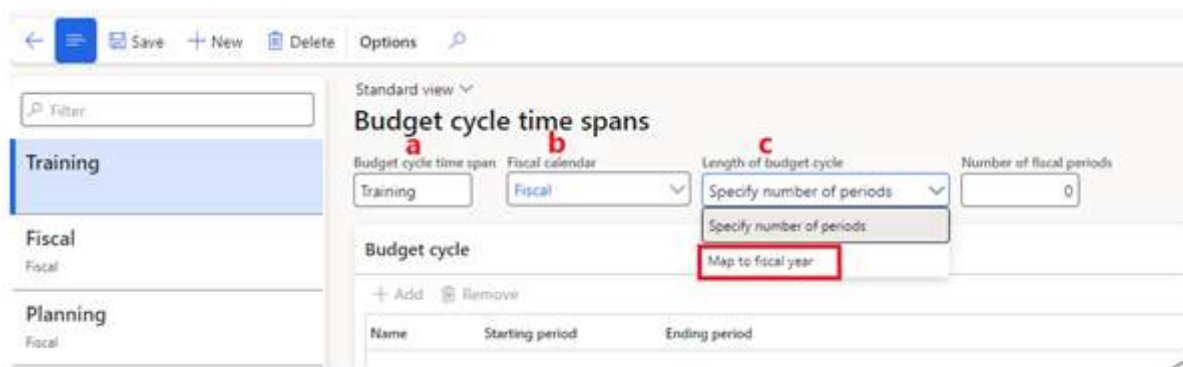
for that, Go to

Budgeting > Setup > Budget Control > Budget cycles



Click on new and fill following

- Budget cycle time span is just a free text field for identification. I write training in it
- Here we will select our Fiscal calendar
- Here we will select either we want to create this budget for some number of periods (We will then need to select number of periods in next field) or for a complete fiscal year. I'll select Map to fiscal year



In the budget cycle grid, we will give a name and starting period will be the first date of fiscal year that I want to make budget for. Once I select it my ending period will be auto populated

Budget cycle

+ Add Remove			
↻	Name	Starting period	Ending period
	2024	1/1/2014	12/31/2014

Step 3: Budget Code

Budget code help us to attach a budget type to it.

for that, Go to

Budgeting > Setup > Basic Budgeting > Budget Codes

Budget Code

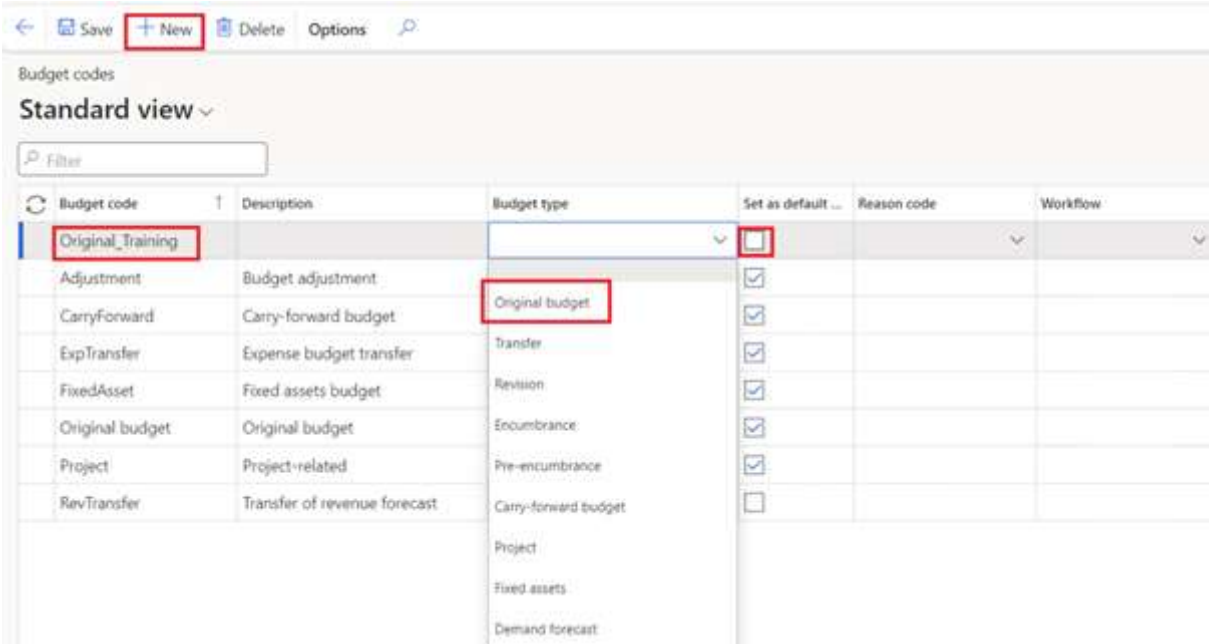
- Accounts receivable
- Asset management
- Audit workbench
- Budgeting**
- Cash and bank management
- Common
- Consolidations
- Cost accounting
- Cost management
- Credit and collections

- > Inquiries and reports
- > Periodic
- > Setup
 - Basic budgeting
 - Budgeting parameters
 - Budgeting workflows
 - Dimensions for budgeting
 - Budget models
 - Budget codes**
 - Budget allocation terms
 - Budget transfer rules

Click on New, In Budget code type a name, We can enter a description to define the budget type and in Budget type we have multiple selection available in drop down

I'll select the original budget which we use to create initial budget amount. To understand about each budget type **[click here](#)**

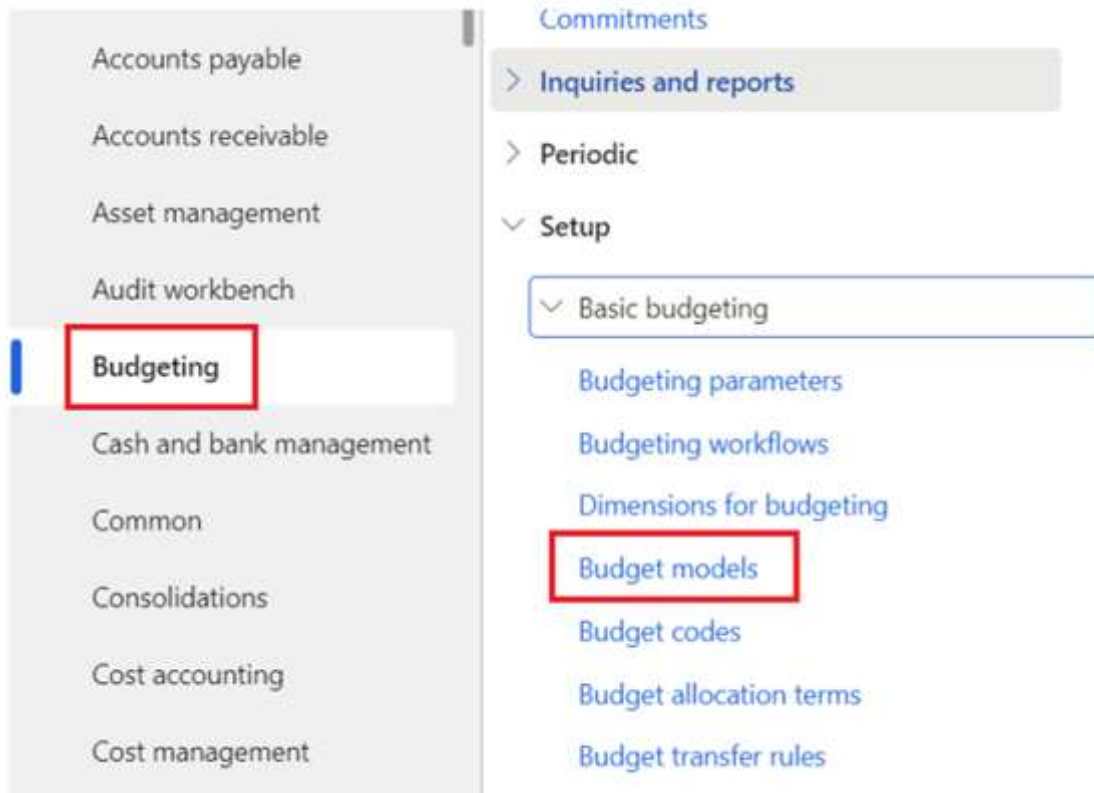
Mark this budget as default. There can only be one default for each budget type.



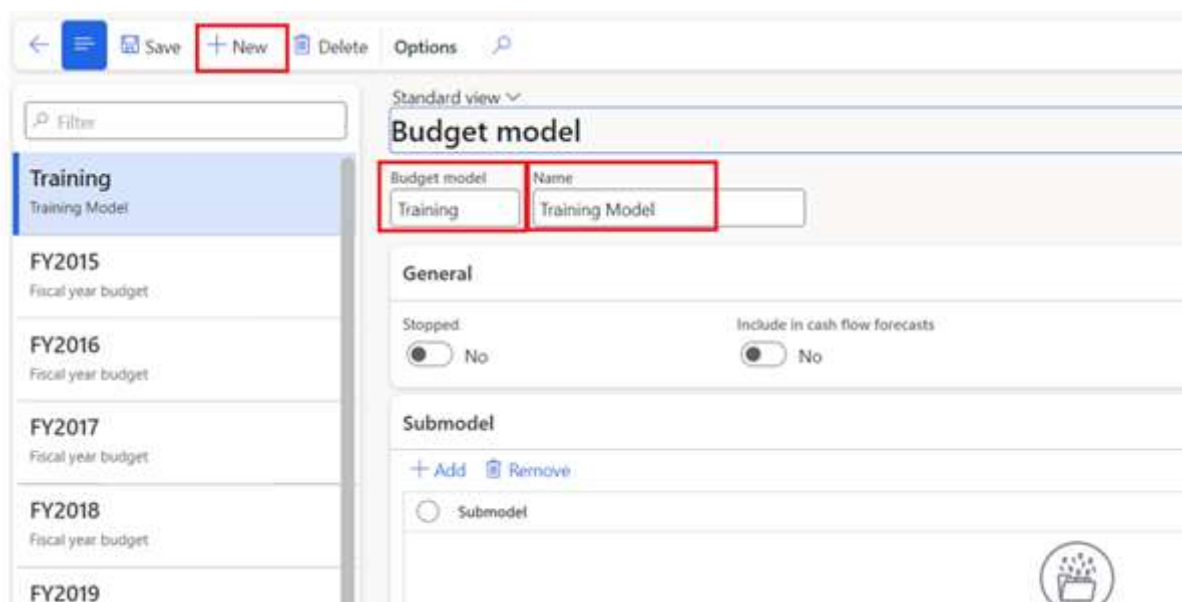
Step4: Budget Models:

Now we need to create budget model.
For that, Go to

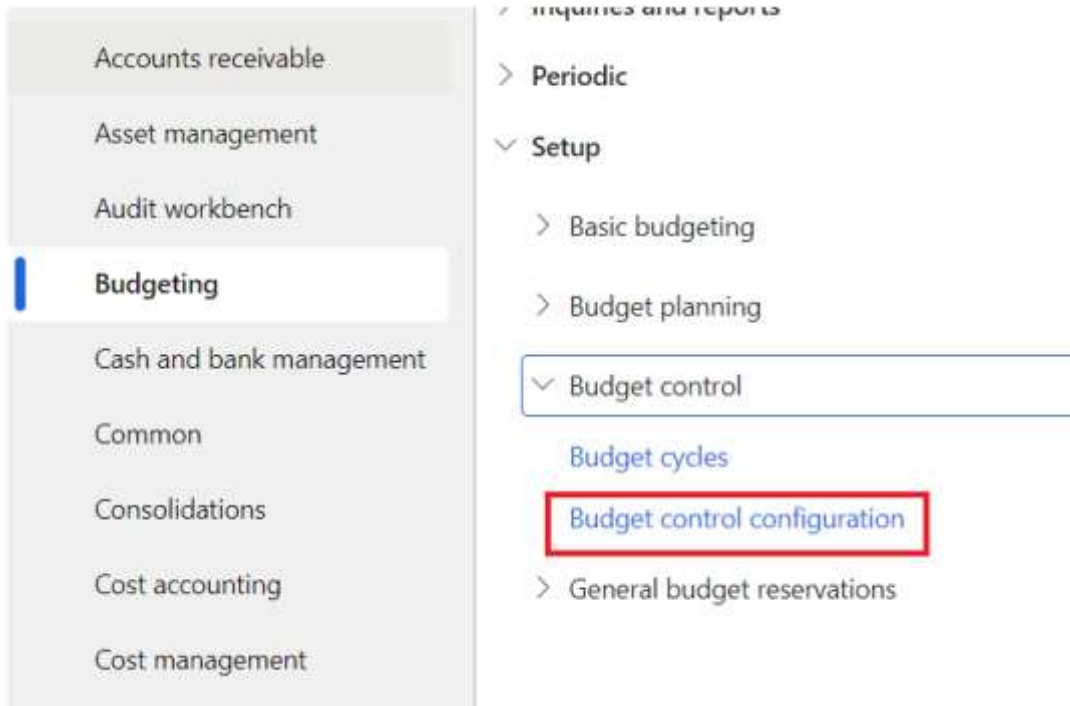
Budgeting > Setup >Basic Budgeting > Budget models



Click on New and Give a code and name, click on save



Step 5: Budget control configurations



1. Click on create draft
2. select the account structure
3. In the Budget Dimensions grid, you'll see the dimensions defined in the Dimension for Budgeting setup. To apply budget controls to a specific dimension, you'll need to move it to the right side of the Budget Control Dimensions grid
4. My Budget control interval will be for complete year
5. Budget cycle timespan I'll select the Training which I created in Budget cycle
6. Budget threshold can be setup at a certain percentage to give us a warning message when our actuals are going to cross that threshold. Our actual limit is 100% so it is not going to restrict us when reaching 90%
7. If we set a Budget threshold and want to see the warning while crossing the threshold, we need to turn this as Yes

Over budget Permission have three options

1. **Prevent over budget processing.** It will restrict the user group defined to prevent them to post transaction that going beyond budgeted amount
2. **Allow over budget processing.** It will allow the user group defined to post transaction even if budget is fully consumed
3. **Prevent processing at over budget threshold.** It will restrict the user group defined to prevent them to post transaction that going beyond budgeted threshold (90%) that we defined earlier

Group	User group name	Over budget options
OverBudget	Over budget processing user group	Prevent over budget processing

In Budget fund available we will define the basis on which the available budget calculation will be performed so system know when to restrict the

posting or give threshold warning.

In Green box we will select the sources of budget, I've selected original budget, Budget revision and budget transfers. All these will be sum up together

In Red box we will select which transaction will consume our budget. I've selected actual expenditure (Posted) and unposted actual expenditure (created but not posted). These red box checks will sum up together

In yellow box you can find the formula, **Selections in Green Box – Selections in Red box**

Standard view ▾

Budget control configuration - Draft

Define parameters

Over budget permissions

Budget funds available

Documents and journals

Assign budget models

Define budget control rules

Select main accounts

Define budget groups

Define message levels

Activate budget control

Define the calculation that determines the budget funds that are available

Select the amounts for the calculation that determines the budget funds that are available.

AMOUNTS TO SUM

- ☒ Original budget
- ☐ Preliminary budget
- ☒ Budget revisions
- ☐ Draft budget revisions
- ☒ Budget transfers
- ☐ Draft budget transfers in
- ☐ Draft budget transfers out

AMOUNTS TO SUBTRACT

- ☒ Actual expenditures
- ☒ Unposted actual expenditures
- ☐ Budget reservations for encumbrances
- ☐ Budget reservations for unconfirmed encumbrances
- ☐ Reduction to budget reservations for unconfirmed encumbrances
- ☐ Budget reservations for pre-encumbrances
- ☐ Budget reservations for unconfirmed pre-encumbrances

CARRY-FORWARD AMOUNTS

- ☐ Include carry-forward amounts
- ☐ Maintain carry-forward status for documents

BUDGET APPORTIONMENTS

- ☐ Use only apportioned amount

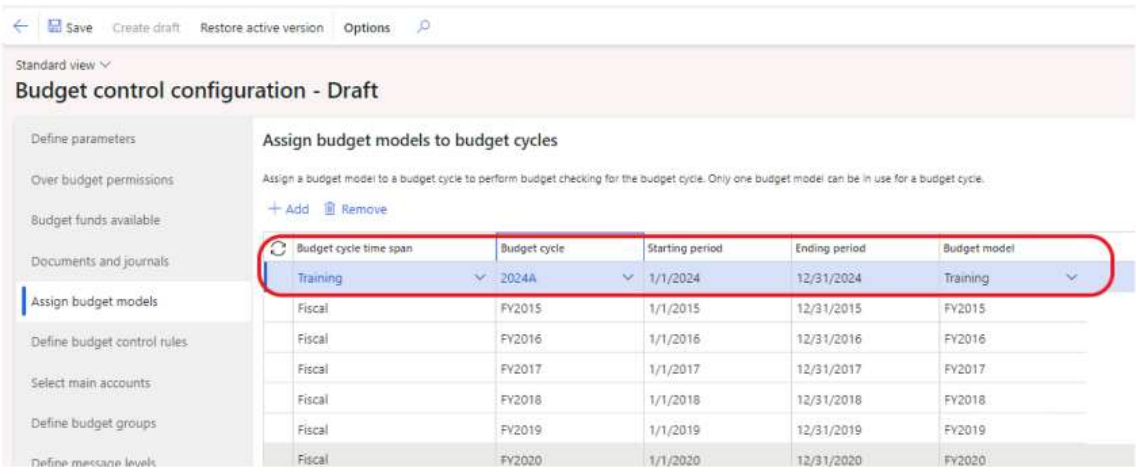
Budget funds available = (Original budget + Budget revisions + Budget transfers) - (Actual expenditures + Unposted actual expenditures)

In Document and Journal, we will select that on which document we want to apply this budget control. Under Include in Budget control we will mark the require documents.

If we want the budget to get executed on line level too we can mark Check at line entry against that document



In Assign budget model we will assign our setup like time span, budget cycle and model



Create a budget control rule. if there is a focus on the expenditure or range of expenditures for a department, you can use the settings on this tab to define and evaluate those expenditures. I'll leave criteria as blank

Standard view

Budget control configuration - Draft

Define parameters

Over budget permissions

Budget funds available

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Activate budget control

Define budget control rules

Define the financial dimension combinations for budget control. When budget control is turned on, the financial dimension combinations specified in the range criteria are monitored. If no criteria are specified, then the rule applies to all dim

+ New

Delete

User group budget permissions

Orig

Budget control rule

Description

Orig

Criteria

+ Add new criteria

Budget control properties

Budget control interval

Fiscal year

Budget cycle time span

Training

Budget manager

Budget threshold

90.00

In Activate budget control, Activate the budget

← Save Create draft Restore active version Options 🔍

Standard view

Standard view 

Activate budget control configuration

The budget control configuration draft will become active. When you turn on budget control, the active configuration takes effect.

Run in the background



Recurrence Alerts

Batch processing

☒ No

Task description

Activate budget control configu...

Batch group

Private

☐ No

Critical Job

☐ No

Monitoring category

Undefined

Start date: 5/19/2024 (02:28:21 pm) (GMT) Coordinated Universal Time

Activate

Cancel

Step 6: Budget register entries

After all the setup and configuration is complete, We now feed D365 with budget. For that we will create the budget register entries.

Go to

Budgeting > Budget register entries

Click on New

1. Select budget model
2. Select budget code
3. Click on Add line
4. Select account structure, Dimension Value on which to assign budget and Amount of Budget



We can create the budget register entry in excel format and upload here in lines, for that click on the Open in excel from the top ribbon, a format will be exported. Populate the entries in it and publish back in D365

Demo

Now as our budget is all set for a Main account. lets create a Daily journal for it.

As I've budget of 10,000 for Main account 618200 and entered 9,500 in Daily journal. It is within our budget but exceeding the 90% threshold. So the budget check will pass but a warning will popup

But if I try to create an expense of 11,000 my budget check will fail and it will also give me error that I'm going over budget by 1,000

Thank you!!!

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